VEHICLE INSURANCE AGREEMENT

2021 Toyota Tacoma TRD Off-Road, Double Cab

This Agreement is made on _____, 2026, between **Matthew Sharpe** (**"Owner"**) and **Brandon Long** (**"Holder"**).

Why this document exists

On the same date, the Parties signed a *Vehicle Option, Use and Purchase Agreement* (the **"Main Agreement"**) for the 2021 Toyota Tacoma TRD Off-Road, VIN _____ (the **"Vehicle"**). Under it, Holder takes possession and drives the Vehicle for six months while Owner keeps legal title and keeps the Vehicle registered in Owner's name.

That arrangement means the person driving the Vehicle is not the person who owns it on paper. Insurers treat that differently from an ordinary owner-driver, and a policy that does not reflect it can be voided or a claim denied after an accident. This Agreement sets out what insurance Holder must carry so that does not happen. It stands on its own, and it is a condition of Holder keeping possession.

1. Coverage Holder Must Carry

Before taking possession of the Vehicle, and continuously for as long as Holder has it, Holder shall maintain at Holder's own cost an automobile liability and physical damage policy covering the Vehicle and covering Holder as a driver, with at least:

Coverage	Minimum
Bodily injury liability, per person	_____
Bodily injury liability, per accident	_____
Property damage liability	_____
Comprehensive and collision	Full actual cash value of the Vehicle
Maximum deductible	_____
Uninsured / underinsured motorist	☐ required ☐ waived

In no event may the liability limits fall below the minimums Colorado law requires for a registered vehicle.

2. Owner Must Be Named on the Policy

The policy shall name **Matthew Sharpe as an additional insured**, and as **loss payee** on the comprehensive and collision coverage.

This is not a formality. Owner holds title and carries the financial exposure if the Vehicle is destroyed. Naming Owner as loss payee is what causes the insurer to pay Owner directly rather than paying Holder for property Holder does not own.

3. Holder Must Tell the Insurer the Truth

Holder shall disclose to the insurer, accurately, that Holder is the regular and principal operator of a vehicle titled and registered to another person, and shall answer every question on the application honestly.

Neither Party shall misstate this arrangement to an insurer, to a claims adjuster, or on any application, renewal or claim form. A policy obtained by misstatement is the single most likely way for a claim to be denied, and a denial would leave both Parties exposed.

4. Proof, Renewal and Lapse

1. Holder shall give Owner a certificate of insurance or the policy declarations page, showing everything required by Sections 1 and 2, **before** taking possession of the Vehicle. Owner is not obliged to hand over the Vehicle until Holder does.
2. Holder shall give Owner an updated declarations page on every renewal, and within five days of any change to the policy.
3. Holder shall instruct the insurer to notify Owner in writing before any cancellation, non-renewal, lapse or reduction in coverage, and shall not oppose Owner contacting the insurer to confirm the policy is in force.
4. If coverage lapses, is canceled or is reduced below the minimums in Section 1, Holder shall **stop driving the Vehicle immediately** and notify Owner the same day.
5. Owner may, but is not obliged to, obtain replacement coverage if Holder's coverage lapses. If Owner does, Holder shall reimburse Owner the premium within 15 days.

5. Deductibles, Gaps and Claims

1. Holder pays every deductible.
2. Holder pays for any loss or damage the insurance does not cover, for any reason.
3. If the insurer pays less than it otherwise would have because of a lapse, an exclusion, a misstatement, or anything else Holder did or failed to do, Holder pays Owner the difference.
4. Holder shall report any accident, theft, damage or claim to both the insurer and Owner within 48 hours, and shall cooperate fully with the claim.
5. Holder shall not settle, compromise or release any claim relating to the Vehicle without Owner's written consent.

6. Breach

A breach of this Agreement is also a **default under Section 12 of the Main Agreement**, and Owner may act on it accordingly, including by ending the Term early and requiring the Vehicle to be returned.

Holder shall indemnify Owner against any claim, judgment, defense cost or fine arising from the operation of the Vehicle during the Term that the insurance does not cover.

7. General

1. **Relationship to the Main Agreement.** This Agreement is separate and stands on its own terms. If the two conflict on the subject of insurance, this Agreement governs. If the Main Agreement ends for any reason, Holder's obligations here end when the Vehicle is returned to Owner.
2. **Term.** This Agreement runs from the date above until the Vehicle is returned to Owner, or until title passes to Holder, whichever happens first.
3. **Amendment.** Only a written amendment signed by both Parties changes this Agreement.
4. **Governing law.** Colorado law governs. Venue is the state courts of _____ County, Colorado.
5. **Severability.** If any provision is unenforceable, the rest stands.
6. **No advice.** Neither Party has given the other insurance advice. Each Party is responsible for satisfying themselves, with their own agent or broker, that the coverage described here is available and adequate.
7. **Counterparts and electronic signature.** This Agreement may be signed in counterparts and by electronic signature, each of which is an original.

Signatures

OWNER

Signature: _____ Date: _____

Printed name: **Matthew Sharpe**

HOLDER

Signature: _____ Date: _____

Printed name: **Brandon Long**

SCHEDULE 1 — PROOF OF COVERAGE

Completed by Holder before taking possession, and again on every renewal or change. Attach the declarations page to this sheet. Both Parties keep a copy.

Detail	Entry
Insurance company	_____
Policy number	_____
Named insured	_____
Policy period — from / to	_____ / _____
Bodily injury limits, per person / per accident	_____ / _____
Property damage limit	_____
Comprehensive deductible	_____
Collision deductible	_____
Uninsured / underinsured motorist	☐ yes ☐ no
Matthew Sharpe shown as additional insured	☐ yes ☐ no
Matthew Sharpe shown as loss payee	☐ yes ☐ no
Insurer told Holder is the regular operator	☐ yes ☐ no
Agent or broker name and phone	_____

Notes *(exclusions, endorsements, anything the agent flagged)*

_____

_____

_____

Declarations page attached: ☐ yes ☐ no — reason: _____

Holder certifies that the above is accurate and that the coverage is in force.

Holder signature: _____ Date: _____

Owner received a copy: _____ Date: _____